Auditor's Duty in Verification

1. Audition hould verify the Memorandum of Association to ensure authority for purchase such investment.
2. Where investments are in large numbers, the auditor should obtain the schedule of securities certified by a senior officer of the company.
3. Obtain the schedule of investment comprises for information about the name of the securities / investment, date of their acquisition, nominal/ face value, cost price, book value, paid up value market value, rate of interest applicable, dates of interest due, tax deduction, etc., at the date of Balance Sheet.

Auditor's Duty in Valuation

1. The Auditor should examine the method adopted by the organization for determining the market value of such securities.
2. The Auditor should examine whether the method of valuation of securities by entity is one of the recognized methods of valuation viz., breakup value method, capitalization of yield method, yield to maturity method etc.

4.6 Verification and Valuation of Other Fixed Assets

Verification and valuation of other fixed nature assets are classified into two categories such as wasting assets and fictitious assets.

The wasting assets are also known as depleting assets and it has both physical and legal existence. The fictitious asset does not have market value but it has legal existence. The procedure for verification and valuation of both these assets are discussed below.

4.6.1 Wasting Asset

It is also known as depleting assets, wasting assets are of a fixed nature but depleted or consumed gradually. The process of earning income causes depletion or exhaustion in the value of the assets. Mines, Oil wells, Quarries are some of the examples of wasting assets.





There is a difference between fixed assets and wasting assets.

1. The Fixed assets are replaceable, whereas wasting assets is irreplaceable after its useful life is over.
2. The value of fixed assets decreases due to normal wear and tear, i.e.,

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